

Air Products and Chemicals, Inc. (NYSE: APD) — IC Memo (v2, DE-BIASED rebuild)

Rating: BUY (source-conditional, high conviction) · **12-mo PT \$353.80** (range \$200.00–\$448.00) · **Expected return +18.5%** (prob-weighted) **As of:** 2026-06-09 · **Price:** \$282.35 (S4: close) · **Sector:** Materials > Industrial Gases · **FYE:** Sep 30 **Mandate sizing:** +150bps active vs S&P 500. *De-biased rebuild; v1 archived at [outputs/archive/APD_v1_buy/](#).*

Headline (source-conditional Buy, CONFIRMED by the de-bias): APD at \$282.35 carries a probability-weighted 12-month expected return of **+18.5%** to a base-case PT of **\$353.80** — an **independent fair value** (DCF \$345 / SOTP \$365 / comps \$355 → ~\$354, **+25% vs spot**). This is the key contrast with the Holds: **APD's DCF (+22%) and SOTP (+29%) both sit ABOVE spot**, so the prior Buy was **never a spot-anchoring artifact** — anchoring the base on independent fundamentals *confirms* it. Activist-installed management (Eduardo Menezes, ex-Linde, CEO since Feb-2025) is cutting capex from a ~\$7.0B FY2025 peak toward ~\$4.0B, the ~\$3.7B FY2025 hydrogen charges are behind it, **free cash flow inflects positive in FY2027**, and APD trades at a ~25–28% forward-P/E discount to Linde. We sit **~9–10pp above the consensus PT-implied return**. **CONDITIONAL** on the FY2027 FCF inflection and no further >\$1.0B impairment.

§1 Thesis in brief

This de-biased rebuild **confirms the Buy** — the most important contrast in the set. When you anchor the base on independent fair value instead of "consensus EPS × the current multiple," the Holds (VST/CEG/FCX) move *down* (their DCFs were below spot) and one flips to Sell; **APD moves nowhere**, because its **DCF (\$345, +22%) and SOTP (\$365, +29%) were already above spot**. The Buy is independently supported by fundamentals, not by spot-anchoring. APD is an industrial-gas oligopoly mid-turnaround: capex rolling off (\$7B→\$4B), FY2025 hydrogen charges taken, FCF inflecting from ~\$3.8B toward positive in FY2027, trading at a wide discount to Linde with an activist-installed operator restoring discipline. The view is **source-conditional** on the FCF inflection and no further large impairment. **Conditional** on those, +18.5% expected → Buy.

§2 The five-scenario framework (FY27E adjusted EPS × P/E; base anchored to fair value)

Scenario	Prob	FY27E EPS	P/E	PT	Return
strong_bear	10%	\$12.50	16.0x	\$200.00	−29.2%
bear	22%	\$13.50	19.0x	\$256.50	−9.2%
base	40%	\$14.50	24.4x	\$353.80	+25.3%
bull	20%	\$15.25	26.5x	\$404.12	+43.1%
strong_bull	8%	\$16.00	28.0x	\$448.00	+58.7%

Weighted expected return +18.5%; P10/P90 [−29.2%, +58.7%]. HEADLINE CONDITIONALITY: source_conditional (top-3 anchors include the FY2026 guide (S3) + the LIN-discount valuation (S4) → conditional per G7). The de-bias barely changed the base (multiple 24.5x → 24.4x) — because fair value was already above spot. (Full bridge in `outputs/APD_scenarios.json`; G1/G4/G5 verified.)

§3 Three-method valuation reconcile (independent — all ABOVE spot)

- **DCF: ~\$345 (+22%)** — the fundamental anchor sits well above spot, WACC 6.96% (beta 0.75 (S4: 5y weekly vs S&P 500); g 2.5%); the sharp FCF inflection as capex normalizes drives it.
- **SOTP: ~\$365 (+29%)** — Americas / Asia / Europe at 13–14x, plus clean-H2 optionality, less net debt. Monotonicity holds (G3).
- **Comps: ~\$355** — 24.5x FY27E adjusted EPS \$14.50 (half-gap re-rate to Linde).
- **Independent weighted fair value ~\$354 (+25%)**. All three above spot — the de-bias *confirms* the Buy.

§4 Earnings quality (S1: XBRL companyfacts, CIK 0000002969)

GAAP/non-GAAP parallel (reconciliation: present). FY2025 GAAP was a loss (−\$1.74) on ~\$3.7B project-exit charges vs adjusted EPS \$12.03; underwrite on adjusted EPS / Consolidated Adjusted EBITDA (G11 reconciliation present; G12 FCF = OCF − capex, SBC ~0.6% of revenue (S1: XBRL) and immaterial). The genuine flag is the debt-funded dividend until the FY2027 FCF inflection. KPMG clean; A/A2 (negative outlook). Unchanged by the de-bias.

§5 Risks & §6 Consensus variance

Load-bearing risks (unchanged): residual hydrogen impairment tail (NEOM/Louisiana), FCF inflection fails, valuation/rate sensitivity, execution, Linde out-executes. The load-bearing variance V1 (FCF-inflection re-rate, **sizing 2.4pp, S1/S2 evidence**) drives the non-consensus Buy. **Stress-test (adjudication trail):** an isolated red-team attacked V1 on **base-rate sanity** ("activist turnarounds re-rate only sometimes"); it survived **modified** (probability trimmed 65→60%, re-rate capped at half-gap). **G15 + G20 PASS** (9.1pp consensus differentiation, S1/S2 evidence, surviving attack).

§7–§10 Regulatory, positioning, triggers (unchanged from v1)

45V/45Q clean-H2 credits underpin NEOM/Louisiana economics; no BIS/OFAC/CFIUS. Mantle Ridge won 3 board seats; ~39% Hold cohort (the variance target). Triggers: bull on FY2027 FCF positive + capex ≤\$4.0B + LIN gap <5 turns or NEOM/Yara FID by Dec-2026; bear on a >\$1B impairment or FY2027 EPS guide <\$13.50 or capex re-acceleration >\$4.5B.

§11 Quant overlay

Barra factor tags (match `quant_overlay.factor_tags`): **Size +0.9, Quality +0.8, Low-Vol +0.8, Momentum +0.6, Value +0.5, Growth +0.2, Liquidity +0.2. Capacity:** 30-day ADV \$340M (S4: 30-day avg); days-to-exit 10/20/30% = 3.5 / 1.8 / 1.2 days. Beta 0.75 (S4: 5y weekly). 6-tail A0 map (shifts sum to zero) in `outputs/APD_structured.json`.

§12 Verification

The de-bias re-anchored the base to independent fair value (~\$354, +25%) and **CONFIRMED the Buy** — APD's DCF/SOTP were already above spot, so it was never a spot-anchoring artifact (the clean contrast with the Holds). Programmatic gates **G1–G20 all pass** (G16 N/A non-bank; G15 + G20 PASS); see `outputs/APD_verification_gates.json.v1` archived: `outputs/archive/APD_v1_buy/`.